A simplified unified propagator model for signed order flow, concave price impact and rough volatility

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Abstract

In this note, we simplify the setup in [MORS26] by modelling persistent signed order flow as the difference of two integrated hyper-rough Heston processes with Hölder exponent in $(\frac{1}{2}, 1)$, which endogenously determines a hyper-rough price process P, the price impact kernel for the propagator equation, and the long-run permanent price impact. This obviates the need to use nearly unstable heavy-tailed Hawkes processes, and lengthy macroscopic scaling limit arguments with C-tightness as in [MORS26]. We later discuss addition of bid-ask spreads and exogenous choice of price impact kernel, so P is no longer a martingale in general but the model is still arbitrage-free if P satisfies the conditional full support property. We also propose a simpler model where signed order flow is a Gaussian Volterra process with Hurst exponent in $(\frac{1}{2}, 1)$.

1.1 Persistent order flow

Similar to Theorem 3.1 in [MORS26], we model the cumulative positive order flow F_t^+ for an asset (i.e. the total number of shares bought by time t) as a weak solution to the Stochastic Volterra Equation:

$$F_t^+ \quad = \quad g(t) + \int_0^t f(t-s) M_s ds \tag{1}$$

with $M_s = B_{F_s^+}$ for a standard Brownian motion B with $B_0 = 0$, where $f(t) = e^{-\theta t} t^{H-\frac{1}{2}}$ with $H \in (-\frac{1}{2}, \frac{1}{2})$ and $\theta > 0$, so $f \in L^1$ and $g(t) = V_0 t$ for some $V_0 > 0$ (note θ replaces the ergodicity parameter λ in Theorem 3.1 in [MORS26]). Weak existence and uniqueness for (1) is established in section 2 of [AJ21], and F^+ is a non-decreasing, nonnegative, continuous and adapted process. F_t^+ is also a.s. $(2\alpha - \varepsilon) \wedge 1$-Hölder continuous where $\alpha = H + \frac{1}{2}$ (see e.g. Theorem 3.1 in [JM20] for details) [1]. which is non-differentiable if $H \leq 0$.

Lemma 1.1 $\mathbb{E}(F_t^+) < \infty$.

Proof. See Appendix A. ■

Corollary 1.2 *Assume (F^+, M) is a weak solution of (1) in the sense of [AJ21], with parameters $b = 0$, $c = 1$ and $\nu \equiv 0$. Then M is a continuous square-integrable martingale and $[M]_t = F_t^+$, $t \geq 0$.*

Proof. By the weak-solution formulation, M is a continuous local martingale and $[M]_t = F_t^+$ for $t \geq 0$. Fix $t \geq 0$, and for $n \geq 1$ define

$$\tau_n := \inf\{s \geq 0 : [M]_s \geq n\}.$$

Then $(M_{s\wedge\tau_n})_{s\geq 0}$ is a continuous square-integrable martingale and (in particular) for every $0 \leq s \leq t$,

$$\mathbb{E}(M_{t\wedge\tau_n} \mid \mathcal{F}_s) = M_{s\wedge\tau_n}. \tag{2}$$

Moreover, by the Itô isometry for continuous martingales,

$$\mathbb{E}(M_{t\wedge\tau_n}^2) \quad = \quad \mathbb{E}([M]_{t\wedge\tau_n}) \quad \leq \quad \mathbb{E}([M]_t) \quad = \quad \mathbb{E}(F_t^+) \quad < \quad \infty,$$

where the last inequality follows from the previous lemma. Hence $(M_{t\wedge\tau_n})_{n\geq 1}$ is uniformly bounded in L^2, and therefore uniformly integrable. Since $[M]_t < \infty$ a.s. for fixed t, we have $\tau_n \to \infty$ a.s., and since M is continuous,

$$M_{t\wedge\tau_n} \to M_t, \qquad M_{s\wedge\tau_n} \to M_s$$

a.s. as $n \to \infty$. By uniform integrability, both convergences also hold in L^1. Passing to the limit in (2) yields

$$\mathbb{E}(M_t|\mathcal{F}_s) = M_s, \qquad 0 \leq s \leq t.$$

Thus M is a martingale. Finally, by Fatou's lemma,

$$\mathbb{E}(M_t^2) \quad \leq \quad \liminf_{n\to\infty} \mathbb{E}(M_{t\wedge\tau_n}^2) \quad \leq \quad \mathbb{E}(F_t^+) \quad < \quad \infty,$$

so M is square-integrable. ■

[1] we can simulate F^+ using the Monte Carlo scheme in [AA25] using Normal Inverse Gaussian variates

1.2 The inversion formula

If h is a function with $h * f \equiv 1$, then we have the inversion formula:

$$\begin{aligned}\int_0^t h(t-s)(F_s^+ - g(s))ds &= \int_0^t h(t-s)\int_0^s f(s-u)M_u du ds &= \int_0^t\int_u^t h(t-s)f(s-u)ds\, M_u du \\ &&= \int_0^t\int_0^{t-u} h(t-s-u)f(s)ds\, M_u du \\ &&= \int_0^t (h*f)(t-u)M_u du &= \int_0^t M_u du\end{aligned}$$

(where Fubini is justified since $F_t^+ < \infty$ a.s. for finite t and B is a.s. continuous), and hence

$$M_t = \frac{d}{dt}\int_0^t h(t-s)(F_s^+ - g(s))ds = \frac{d}{dt}\int_0^t h(t-s)F_s^+ ds - \frac{d}{dt}\int_0^t h(t-s)g(s)ds \tag{3}$$

Lebesgue a.e., where the final equality holds since $\int_0^t h(t-s)(F_s^+ - g(s))ds$ and $\int_0^t h(t-s)g(s)ds$ are both absolutely continuous, and hence so is their sum. Moreover, setting $H(t) = \int_0^t h(s)ds$, integrating by parts we see that

$$\int_0^t H(t-s)dF_s^+ = F_s^+ H(t-s)_{s=0}^{s=t} + \int_0^t h(t-s)F_s^+ ds = \int_0^t h(t-s)F_s^+ ds\,.$$

Taking Laplace transforms, the condition $h * f \equiv 1$ becomes $\hat{f}(\lambda)\hat{h}(\lambda) = \frac{1}{\lambda}$, from which we find that

$$h(t) = \frac{\theta^\alpha}{\Gamma(\alpha)}(1 - \frac{\Gamma(-\alpha, t\theta)}{\Gamma(-\alpha)})$$

where $\Gamma(a,z) = \int_z^\infty s^{a-1}e^{-s}ds$ is the incomplete Gamma function, and $h(t) = O(t^{-H-\frac{1}{2}})$ as $t \to 0$.

1.3 Signed order flow

Again following [MORS26], we now assume the *signed* order flow for an asset is

$$F_t = F_t^+ - F_t^-$$

where $F_t^- = g(t) + \int_0^t f(t-s)M_s^- ds$ with $M_s^- = W_{F_s^-}$ and W is another Brownian motion independent of B (so F^- is an i.i.d. copy of F^+). Then we see that

$$\frac{d}{dt}\int_0^t h(t-s)F_s ds = \frac{d}{dt}\int_0^t H(t-s)dF_s = \int_0^t h(t-s)dF_s = M_t - M_t^- \tag{4}$$

since the g terms cancel (and the second equality follows from the Stieltjes-Leibniz rule using the known Hölder continuity of $F^\pm$ and that $|h(u)| \le Cu^{-\alpha}$ so $\int_0^t |h(t-s)||dF_s| < \infty$), and for $0 \le t \le u$ we have

$$\mathbb{E}(F_u^+|\mathcal{F}_t^M) = g(u) + \mathbb{E}(\int_0^u f(u-s)M_s ds\,|\mathcal{F}_t^M) = g(u) + \int_0^t f(u-s)M_s ds + M_t\int_t^u f(u-s)ds$$

(and similarly for $\mathbb{E}(F_u^-|\mathcal{F}_t^{M^-})$), since $(M_t)_{t\ge 0}$ is a $\mathcal{F}_t^+$-martingale by Corollary 1.2.

1.4 Price dynamics and the propagator model

Making the usual assumption that the asset price $P_t = \kappa \lim_{u\to\infty}\mathbb{E}(F_u|\mathcal{G}_t)$ where $F_t = F_t^+ - F_t^-$ and $\mathcal{G}_t = \sigma(\mathcal{G}_t^+, \mathcal{G}_t^-)$ with $\mathcal{G}_t^- = \mathcal{F}_{F_t^-}^W$ (for some $\kappa > 0$) [2], we find that $f(u-s) \to 0$ as $u \to \infty$ since $\theta > 0$, but $\lim_{u\to\infty}\int_t^u f(u-s)ds = c_{H,\theta}$ where $c_{H,\theta} = \theta^{-\frac{1}{2}-H}\Gamma(\frac{1}{2}+H)$, so

$$P_t = \kappa \lim_{u\to\infty}\mathbb{E}(F_u^+ - F_u^-\,|\mathcal{G}_t) = \kappa\, c_{H,\theta}(M_t - M_t^-)$$

i.e. P is the difference of two i.i.d. hyper-rough Heston models (each with correlation $\rho = 1$ since each process only has one driving Brownian motion), and we recover the Propagator equation

$$P_t = \int_0^t G(t-s)dF_s \tag{5}$$

where $G(t) = \kappa c_{H,\theta}h(t)$, and the *unsigned* order flow is $V_t = F_t^+ + F_t^-$.

[2] note we are assuming $P_0 = 0$ without loss of generality to ease notation, but we can easily add a positive P_0 term

1.5 Power-law price impact

In particular, the *market impact function* of an exogenous metaorder executed at constant trading speed 1 up to time t_0 is given by

$$MI(t) \quad = \quad \frac{d}{dt}\int_0^t G(t-s)sds \quad = \quad \kappa c_{H,\theta}\frac{\theta^{-\alpha_-}(t\theta\Gamma(-\alpha)-t\theta\Gamma(-\alpha,t\theta)-\Gamma(\alpha_-)+\Gamma(\alpha_-,t\theta))}{\Gamma(-\alpha)\Gamma(\alpha)}$$

for $0 \le t < t_0$ (where $\alpha_- = \frac{1}{2}-H$) which is $O(t^{\frac{1}{2}-H})$ as $t \to 0$ (for $H \neq \frac{1}{2}$) and globally concave in t for $H \in (-\frac{1}{2}, \frac{1}{2})$, consistent with empirical evidence (note the usual square-root impact law corresponds to $H = 0$ here), and (after cancelling terms) we can show that the asymptotic (i.e. permanent) impact as $t \to \infty$ (given no trading after t_0) is

$$MI(\infty) \quad = \quad \kappa t_0$$

(this is the asymptotic grey line in the plot below).

For the special case $H = \frac{1}{2}$ that we have previously excluded, $h(t) = \theta + \delta(t)$, which corresponds to linear permanent and temporary price impact; conversely $\lim_{\theta\to 0} h(t) = const. \times t^{-\frac{1}{2}-H}$. Recall from above that F_t^+ has Hölder regularity $(2\alpha - \varepsilon) \wedge 1$, and empirical evidence in [MORS26] and below suggests that $2\alpha \in (\frac{1}{2}, 1)$ which corresponds to $H \in (-\frac{1}{4}, 0)$.

1.6 Empirical results

Below we have tabulated estimates of 2α (i.e. the Hölder exponent of $(F_t)_{t\ge 0}$) using signed order flow for major US tech stocks using the model-independent $\hat{H}^{\pi}_{L,K}(X)$ estimator in Eq 7 in Cont&Das[CD24] which is consistent and allows for irregularly spaced data (with their $L/K = [\sqrt{N}]$, where N is the total sample size). For this we have used the free data at `https://data.lobsterdata.com/info/DataSamples.php`:

	GOOG	AAPL	MSFT	AMZN	INTC
N	49284	118326	410881	57360	404496
$2\hat{\alpha}$	0.692	0.720	0.847	0.735	0.890
$\hat{H}$	-0.154	-0.140	-.0767	-0.133	-0.0553

Note we only use columns 4 and 5 from the lobsterdata.csv files which correspond to actual realized trades.

1.7 Controlling liquidity

In the setup above, we have no control over the depth of liquidity, since the kernel $G(t)$ which controls the amount of transient price impact is endogenously determined via the f function in (1). To resolve this inflexibility, we can make the natural assumption that $P_t = \eta\tilde{M}_t + (1-\eta)\int_0^t G(t-s)dF_s$ for $\eta \in [0,1]$ where $\tilde{M}_t$ is an additional martingale, so η close to 1 implies greater liquidity and vice versa.

1.8 Using a mixed kernel

If we augment f to a function of the form $f(t) = e^{-\theta t}t^{H-\frac{1}{2}} + e^{-\theta_2 t}t^{H_2-\frac{1}{2}}$, then we find that

$$h(t) \quad = \quad \frac{1}{\Gamma(\alpha)}\sum_{n=0}^{\infty}(-c)^n\sum_{k=0}^{\infty}\frac{(\beta n)_k}{k!}\,\delta^k\,\theta^{-(\mu_n+k)}\,\frac{\gamma(\mu_n+k,\theta t)}{\Gamma(\mu_n+k)}$$

where $\beta = \frac{1}{2}+H_2$, $c = \Gamma(\beta)/\Gamma(\alpha)$, $\delta = \theta - \theta_2$, $\mu_n = \beta n - \alpha(n+1)$, $\gamma(a,z) = \int_0^z s^{a-1}e^{-s}ds$ is the lower incomplete Gamma function and $(a)_k$ denotes the Pochhammer symbol. We can then use two (possibly different) f functions to drive $F^{\pm}$, and if $H_2 \in (0, \frac{1}{2})$, P_t will have a conventional (i.e. non-hyper) rough component, which may be more realistic. We can also assume W and B are correlated to give greater control over the skewness of P_t.

1.9 Bid-ask spreads, exogenous choice of impact kernel, and non semimartingale price dynamics

Since $F = F^+ - F^-$, we can also include a fixed transaction cost ε per share bought (i.e. a bid-offer spread), so the total transaction costs incurred by all trades at t is $\varepsilon(F^+ + F^-) = \varepsilon V_t$. If we then also abandon the (questionable) assumption that $P_t = \kappa\lim_{u\to\infty}\mathbb{E}(F_u^+ - F_u^- \,|\mathcal{G}_t)$, and instead exogenously choose the price impact kernel G in (5), if P has the conditional full support property the model is arbitrage-free even if P is not a semimartingale (see e.g. [GRS08] for details).

1.10 Signed order flow as a persistent Gaussian process

Let $\bar{F}(t) = \int_0^t f(s)ds$ where $f(.)$ is defined as in subsection 1.1 with $H \in (-\frac{1}{2}, 0)$, and we now assume the signed order flow F follows the Gaussian Volterra process:

$$F_t \quad = \quad \int_0^t \bar{F}(t-s)dW_s \quad = \quad \bar{F}(t-s)W_s|_{s=0}^{s=t} + \int_0^t f(t-s)W_s ds \quad = \quad \int_0^t f(t-s)W_s ds$$

where W is a standard Brownian motion. Then $\bar{F}(t) = O(t^{H+\frac{1}{2}}) = O(t^{H+1-\frac{1}{2}})$ as $t \to 0$, i.e. F has Hölder continuity $H + 1 - \varepsilon \in (\frac{1}{2}, 1)$, and

$$\mathbb{E}(F_u|\mathcal{F}_t) \quad = \quad \int_0^t f(u-s)W_s ds + W_t \int_t^u f(u-s)ds$$

and $\lim_{u\to\infty} \mathbb{E}(F_u|\mathcal{F}_t) = c_{H,\theta} W_t$ and $W_t = \int_0^t h(t-s)dF_s$, so the model is plausible but leads to boring Bachelier dynamics for the price process P_t (it does have the advantage that we can use MLE or GMM methods to estimate H and θ). Or we can replace W with another martingale (e.g. a process with rough volatility).

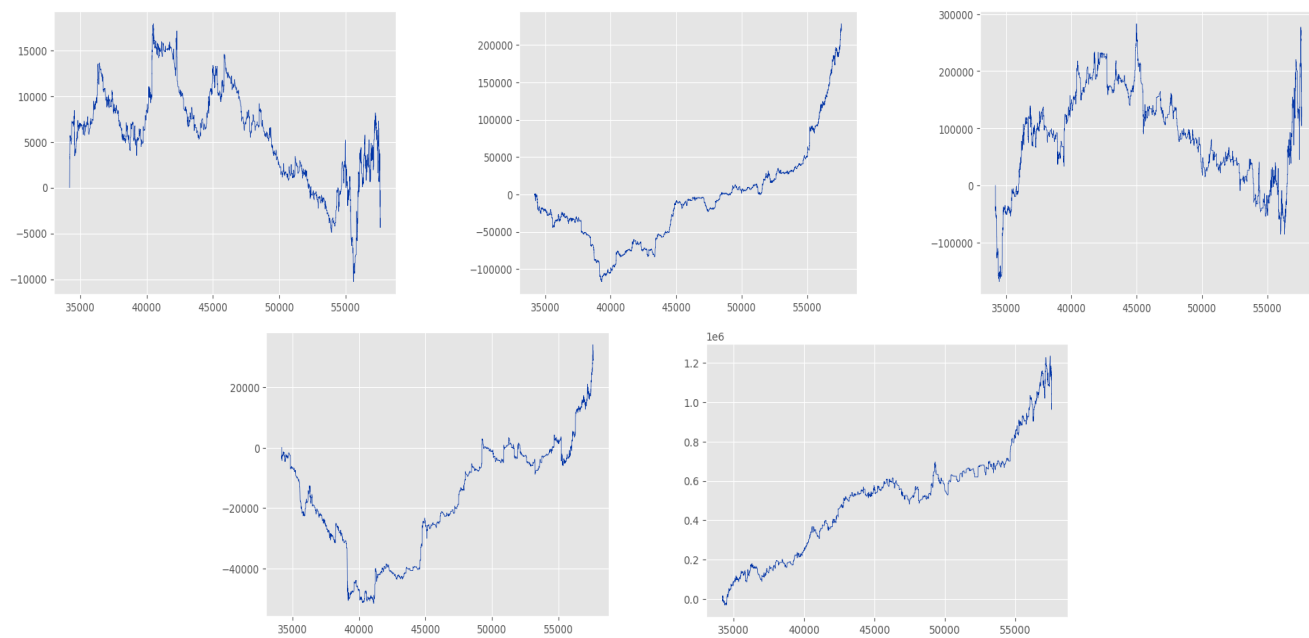

Figure 1: Signed order flow for GOOG, AAPL, MSFT, AMZN and INTC

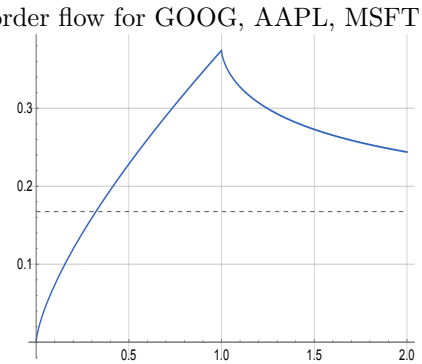

Figure 2: Concave price impact of an exogenous metaorder executed at constant trading speed 1 over $[0, 1]$ with $H = -0.2$, $\theta = 0.1$ and $\kappa = 1$. The blue line asymptotes to the constant level $MI(\infty)$ (grey line) as $t \to \infty$ which represents the asymptotic permanent price impact.

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A Appendix A

Proof. Set $G_t := \sup_{0\le r\le t}|g(r)|$, $K_t := \int_0^t |f(r)|dr > 0$. For $n \ge 1$ define the level hitting time $\tau_n := \inf\{s \ge 0 : F_s^+ \ge n\}$.

Since F^+ is continuous and nondecreasing, on $\{\tau_n \le t\}$ we have $F^+_{\tau_n} = n$ and $F^+_r \le n$ for all $0 \le r \le \tau_n$. Fix $n \ge 1$ and work on the event $\{\tau_n \le t\}$. For $0 \le r \le \tau_n$ we have $|B_{F^+_r}| \le \sup_{0\le u\le n}|B_u|$. Setting $s = \tau_n$ and taking absolute values we see that

$$\begin{aligned} n \;=\; g(\tau_n) + \int_0^{\tau_n} f(\tau_n - r)\, B_{F^+_r}\, dr \;&\le\; |g(\tau_n)| + \int_0^{\tau_n} |f(\tau_n - r)|\, |B_{F^+_r}|\, dr \\ &\le\; G_t + (\int_0^{\tau_n} |f(\tau_n - r)|\, dr) \sup_{0\le u\le n} |B_u| \\ &=\; G_t + (\int_0^{\tau_n} |f(s)|\, ds) \sup_{0\le u\le n} |B_u| \;\le\; G_t + K_t \sup_{0\le u\le n} |B_u|. \end{aligned}$$

Hence for $n > G_t$, on $\{\tau_n \le t\}$ we have $\{\sup_{0\le u\le n}|B_u| \ge \frac{n-G_t}{K_t}\}$. Since $F_t^+ \ge n$ iff $\tau_n \le t$, we obtain

$$\mathbb{P}(F_t^+ \ge n) \;\le\; \mathbb{P}(\sup_{0\le u\le n}|B_u| \ge \frac{n - G_t}{K_t}), \qquad n > G_t.$$

By the standard reflection principle bound $\mathbb{P}(\sup_{0\le u\le n}|B_u| \ge a) \le 4\exp(-\frac{a^2}{2n})$, for $a > 0$, so for $n > G_t$,

$$\mathbb{P}(F_t^+ \ge n) \;\le\; 4\exp(-\frac{(n - G_t)^2}{2nK_t^2}).$$

In particular, if $n \ge 4G_t$ then $(n - G_t)^2/n \ge \frac{1}{2}n$, hence

$$\mathbb{P}(F_t^+ \ge n) \;\le\; 4e^{-\frac{n}{4K_t^2}}, \qquad n \ge 4G_t. \tag{A-1}$$

Since $F_t^+ \ge 0$, we also know that $\mathbb{E}(F_t^+) = \int_0^\infty \mathbb{P}(F_t^+ \ge x)\, dx$. Now set $m := \lceil 4G_t \rceil$. Then

$$\mathbb{E}(F_t^+) \;\le\; m + \int_m^\infty \mathbb{P}(F_t^+ \ge x)\, dx \;=\; m + \sum_{n=m}^\infty \int_n^{n+1} \mathbb{P}(F_t^+ \ge x)\, dx \;\le\; m + \sum_{n=m}^\infty \mathbb{P}(F_t^+ \ge n). \tag{A-2}$$

Using (A-1) for all $n \ge m$,

$$\sum_{n=m}^\infty \mathbb{P}(F_t^+ \ge n) \;\le\; \sum_{n=m}^\infty 4\exp(-\frac{n}{4K_t^2}) \;<\; \infty. \tag{A-3}$$

Combining (A-2) and (A-3) yields $\mathbb{E}(F_t^+) < \infty$. ■